

Friday, July 31, 2026

9:00 a.m. – General Discussion

Commissioners Ron Smith, Chair; Colene Martin, Vice-Chair; Gary Richardson; Nikole Guzman, Recorder

Additional Attendees: Wally Hicks, Legal Counsel; Leah Harper, participating remotely; Matt Eide, Finance Director

Chair Ron Smith called the meeting to order at 9:00 a.m.

1. Declaration of Potential Conflicts of Interest

Commissioners Richardson, Martin, and Smith each declared no potential conflicts of interest.

2. SRS Election Allocation

Legal Counsel Wally Hicks explained that the Oregon Department of Administrative Services notified counties that July 31 was the deadline to reconsider their annual election between Secure Rural Schools funding and federal timber receipts. The Board had previously elected to receive Secure Rural Schools funding for the upcoming year. The purpose of the meeting was to review newly available information and confirm whether the Board wished to retain or change that election.

Leah Harper provided background on the Secure Rural Schools program. Congress established the program in 2000 after reduced timber harvesting on federal lands substantially decreased the timber receipts historically paid to counties in lieu of property taxes. The program provides counties with a formula-based payment while allowing an annual election between Secure Rural Schools funding and the applicable federal timber-receipt calculation.

Ms. Harper explained that Secure Rural Schools has been reauthorized multiple times and that counties have frequently faced uncertainty about whether Congress would continue the program. Participants understood the current authorization to extend through federal Fiscal Year 2026 and that additional funding beyond that period would require further congressional action. The election under consideration applied for one year and could be reconsidered during the following annual cycle.

The Board discussed changes in how Forest Service and Bureau of Land Management O&C acreage is treated. The acreage is now combined for purposes of the election, and a county may not receive both Secure Rural Schools payments and timber receipts based upon the same federal acreage. The timing of timber-receipt payments may also lag one or more years after a harvest because sales must be advertised, awarded, completed, and paid before revenues are distributed to counties.

Finance Director Matt Eide reviewed the timing of prior federal payments and noted that delayed receipts can create a decrease in one fiscal year followed by an increase in a later year. The figures presented to the Board indicated that even if projected timber receipts increased substantially, the estimated amount for Josephine County remained below the known Secure Rural Schools payment.

Mr. Hicks reported that the Bureau of Land Management had adopted a resource-management plan targeting approximately 500 million board feet of annual harvest, which represented a significant increase over recent levels. However, the County could not assume that the full projected harvest would immediately occur or generate receipts during the applicable election year. Timber-sale preparation, market conditions, available milling capacity, transportation expenses, and potential litigation could delay or reduce the anticipated revenue.

The Board also discussed a recent assumption that removal of a federal 25-percent surcharge would increase the counties' share of O&C receipts from 50 percent to 75 percent. Mr. Hicks reported that Senator Wyden's office had confirmed with the Department of the Interior that the payment rate would remain at 50 percent because the governing Secure Rural Schools legislation had not been amended.

Commissioners discussed reports that Douglas and Jackson Counties intended to elect timber receipts. Those counties hold larger amounts of O&C land and may have different financial, legal, or economic considerations. The Board noted that Josephine County's circumstances differed, including the comparative size of its anticipated payment, uncertainty surrounding federal harvest levels, the loss of local milling infrastructure, and the present timber and housing markets.

Commissioners further discussed that litigation has historically prevented federal agencies from reaching announced timber-harvest targets. Although increased timber production could benefit the regional economy and provide future county revenue, the amount and timing of those receipts remained uncertain. Secure Rural Schools offered a known amount that could be used for County planning and budgeting.

Following discussion, Commissioners agreed that the newly available information did not justify changing the County's prior election. The Board reached consensus to retain its election of Secure Rural Schools funding for the applicable one-year period and to review the available options again during the next annual election cycle. No additional formal action was taken.

3. Other

None heard.

4. Additional Subject Matters from Commissioners/Announcements

None heard.

The meeting adjourned at 9:32 a.m.